Student's Name.....

THE UNITED REPUBLIC OF TANZANIA
PRESIDENT'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
LONGIDO AND NAMANGA SECONDARY SCHOOLS

FORM ONE TERMINAL EXAMINATION
BOOK KEEPING

Time: 2:30 Hours **2024**

INSTRUCTIONS

1. This paper consists of section A, B and C with a total of nine (9) questions.
2. Answer all questions.
3. Section A carries **fifteen (15)** marks, section B **forty (40)** marks and section C carries **forty-five (45)** marks.
4. All answers must be written in the spaces provided.
5. All communication devices, calculators and any unauthorized materials are not allowed in the examination room.
6. Write your assessment number at the top right corner of every page

FOR ASSESSORS' USE ONLY		
QUESTION NUMBER	**SCORE**	**ASSESSORS' INITIALS**
1.		
2.		
3.		
4.		
5.		
6.		
7.		
8.		
9.		
TOTAL		

SECTION A (15 Marks)

Answer **all** questions in this section

1. For each of the item (i) – (x) choose the correct answer from among the given alternatives and write its letter beside the item number in the box provided.

(i) No entry has been made in the accounting system of the fact that the workforce had a very high morale. This is an example of the application of which one of the following principles?

A. Accrual principle
B. Duality principle
C. Money measurement principle
D. Prudence principle

(ii) The owner of the business paid for a child's birthday present from business's bank account. The book keeper correctly recorded the amount in the drawings account in the business's general ledger. This is an example of the application of which one of the following principles?

A. Business entity
B. Accrual
C. Consistency
D. Going concern

(iii) The owner considered switching from using the reducing balance method of depreciation to sum of years digits method. The owner has been advised to continue using the straight-line method so that one year's accounts can be compared with another year's accounts on the same basis. This is an example of the application of which one of the following principles?

A. Business entity
B. Accrual
C. Duality
D. Consistency

(iv) The owner of the business paid for some building work at his home from his private bank account. This transaction was recorded in the business's books of account. Which accounting principle was wrongly applied?

A. Accruals
B. Business entity
C. Consistency
D. Materiality

(v) A payment of wages in cash was recorded twice the books of accounts. This is an example of which principle?

A. Accrual principle
B. Double entry principle
C. Money measurement principle
D. Business entity principle

(vi) It is assumed that a business will continue to trade for many years to come. Which accounting principle is based on this assumption?

A. Business entity
B. Money measurement
C. Going concern
D. Accruals

(vii) Some furniture bought for business purpose were recorded in the books at their original costs. Which accounting principle were applied in this case?

A. Money measurement
B. Business entity
C. Historical cost
D. Materiality

(viii) The bookkeeper had deducted business expenses of a financial year 2023 from business income of the same period in an attempt to determine the profit or loss made by the business for that financial year. This is an example of the application of which one of the following principles?

A. Matching principle
B. Going concern principle
C. Accrual principle
D. Business entity principle

(ix) The owner of the business always prepares financial statements and communicate the financial information to the users every end of the year. Which principle is being applied by this business owner?

A. Business entity principle
B. Money measurement principle
C. Materiality principle
D. Accounting period principle

(x) When financial statements are prepared it is important to recognize incomes and expenses when incurred or earned rather than when the cash involved are received or paid. Which one of the following accounting principles insists on this case?

A. Accrual principle
B. Money measurement principle
C. Materiality principle
D. Accounting period principle

Answer box

(i)	(ii)	(iii)	(iv)	(v)	(vi)	(vii)	(viii)	(ix)	(x)

2. For each of the item (i) – (v) match the description of common terms in book keeping in COLUMN A with their corresponding terms in COLUMN B by writing the letter of the correct response beside the item number in the answer table provided.

COLUMN A	**COLUMN B**
(i) Amount of private resources invested by the owner to the business. (ii) Intangible things used to satisfy human wants. (iii)A person owing money to the business (iv) Arithmetical link between assets, liabilities and capital. (v) Any legal undertaking carried out by a person in order to make profit.	A. Services B. Accounting equation C. Capital D. Business E. Goods F. Debtors G. Liabilities

Answer box

(i)	(ii)	(iii)	(iv)	(v)

SECTION B (40 marks)

Answer **all** questions in this section

3. Magige is a businessman who does not have a book keeping knowledge and he can't properly follow the proper accounting process. Help Maganga by briefly describe the first five (5) stages involved in the accounting process.

   (i) ……
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   (ii) ……
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   (iii) ……
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   ……

   (iv) ……
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   (v) ……
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4. As an upcoming book-keeping expert, briefly help Mbangule, amateur businessman, the necessary steps to be followed when balancing off an account.

   (i) ……
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   ……

   (ii) ……
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   (iii) ……
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   (iv) ……
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(v) ……
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5. Study the following table and for each transaction indicate accounts to be debited and credited for each of the following transactions;

TRANSACTION	TO BE DEBITED	TO BE CREDITED
(i) Returned damaged goods to Musa.		
(ii) Received loan from CRDB in cash.		
(iii) Paid cash for proprietor's son birthday		
(iv) Bought furniture from Lema motors		
(v) Sold some unwanted computer to Selemani		

6. Your friend, Andendekisye has approached you for help about how book keeping relate to the following subjects;
   (a) Commerce
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   ……
   (b) Agriculture
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   (c) Information and computer studies (ICS)
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   (d) Economics
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(e) Home economics

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SECTION C: (45 Marks)

Answer **all** questions in this section

7. Fundimaiko owns a business making computer software programs. The following information is available about her business's assets and liabilities on 31st December 2022.

	TZS
Equipment	900,000
Cash in hand	40,000
Premises	3,000,000
Bank loan	600,000
Inventory	160,000
Delivery vehicle	320,000
Trade receivable	140,000
Trade payable	80,000
Bank overdraft	220,000

Required;

(a) Calculate the total value of non-current assets

(b) Calculate total value of current assets

(c) Calculate the total value of long-term liabilities.

(d) Calculate total value of current liabilities.

(e) Use the accounting equation to calculate the business's capital

8. Use the following details to write up a sales returns day book and show the total sales returns for the month. 2020:

June 1: Received goods from Bwashee store:
20 boxes of coloured chalks @ 15,000
10 boxes of counter books @ 20,000
Wrong specifications.

June 10: Received goods from Mringa shop:
20 cartons of water @ TZS 6,000
25 boxes of biscuits @ 5,000
Expired.

June 25: Received goods from Mzalendo store:
5 bags of rice @ TZS 30,000
2 bags of wheat flour @ TZS 20,000
Less weight.

9. KUMEKUCHA started a business on 1st January 2022 with capital in cash TZS 8,000,000. During January, he made the following transactions.

2nd January; Bought goods for cash	500,000
4th January; Paid rent for cash	150,000
5th January; Bought goods for cash	450,000
6th January; Bought packing materials for cash	50,000
7th January; Purchased goods from Somboka	200,000
8th January; Paid transport charges for cash	200,000
10th January; Sold goods for cash	4,800,000
15th January; Sold goods to Wilma	2,000,000
31st January; Paid salaries for cash	1,500,000
31st January; Paid cash to Somboka	200,000

Required;

Enter the above transactions in the cash account and post them to their respective ledger accounts and balance off the accounts as at 31st January 2022.